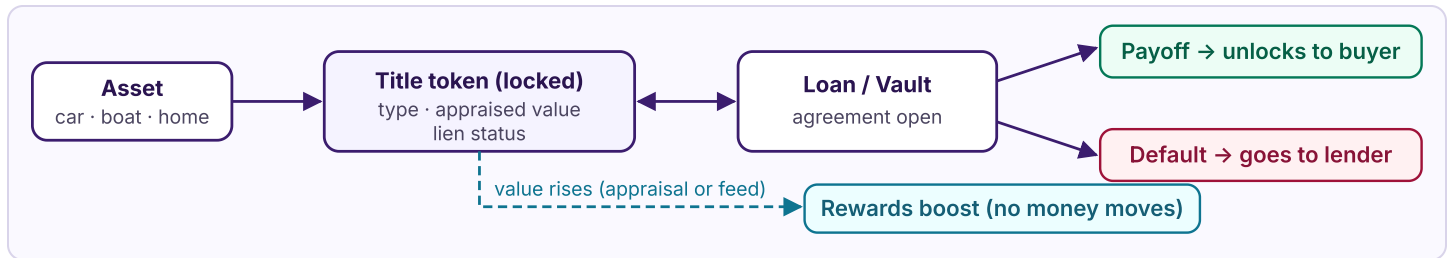


Tokenized Collateral for Quasaria Autopay

One on-chain title token per financed asset, locked to the loan, plus an optional "unlocked equity" path if the asset gains value.



1. Title token locked to the loan

- **When a deal is created**, the vault issues **one token per asset**. It's a digital title record holding the asset type, appraised value and lien status.
- **While the loan is open**, the token is locked to the agreement.
- **Who sees it**: the buyer sees it in the portal next to the deal with its current value; the lender sees it as collateral.
- **At payoff**, the lien release unlocks the token to the buyer.
- **On default**, it goes to the lender, the same way the deposit does today.

2. Appreciation as "unlocked equity"

A price feed or periodic appraisal updates the value. Any rise above the purchase price counts as **unlocked equity**. There are two ways to use it:

- **(a) Extra principal**: a small, capped share becomes extra principal payments, the same way yield sweeps work today.
- **(b) Rewards boost**: the gain lifts the buyer's rewards tier or QFX rewards, and no money moves.

Caveat: the gain exists only on paper until a sale or refinance. To turn it into payments, someone has to lend against it, and that's a new loan. **The rewards boost is simpler and safer.**

3. Calculator changes

New input in "Calculate your deal": an optional slider for *asset value change per year*. Illustrative defaults:

Asset	Default change per year
Car	about -15% to -20%
Boat	about -5% to -10%
Home	about +3% to +4%

New output: equity over time, with the possible top-up or rewards boost on **its own line, separate from yield**.

4. Portal collateral card

- **Buyer view**: the token, value history, loan-to-value (LTV) and lien status.
- **Lender view**: a matching collateral view with the same data, for monitoring.

5. Risks and open questions

- **Depreciation**: cars and boats usually lose value, so the idea mainly works for **homes**.
- **Valuation**: oracles and appraisals can be gamed or go stale.
- **Legal title vs token**: real title stays with state title and deed records. The token only *mirrors* it.
- **Securities and lending rules**: a token that carries upside could be a security, and equity-funded payments may count as lending. Both tie back to the flags in the LLC research.
- **Custody**: a price feed or token that the platform controls cuts against the non-custodial design in the review.
- **XLM pricing**: pegging to XLM adds crypto volatility and margin-call-style risk. **Price in dollars** and offer an XLM view only.

6. Recommendation

- **Start**: a title token plus a rewards boost for **homes**, on **testnet**, priced in **dollars** with an XLM view.
- **Hold**: appreciation-funded payments until after legal review.